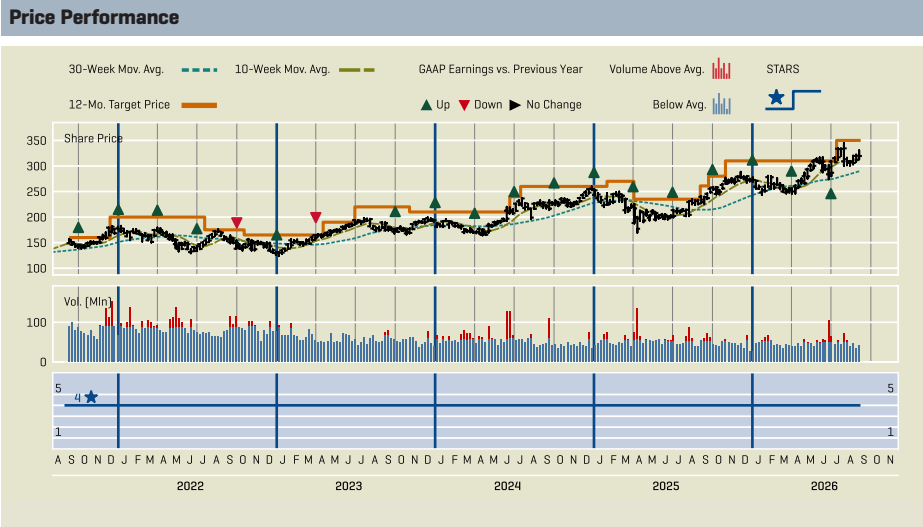


Recommendation	BUY ★ ★ ★ ★ ★	Price	USD 319.97 (as of market close Sep 04, 2026)	12-Mo. Target Price	USD 350.00	Report Currency	USD	Investment Style	Large-Cap Growth
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Equity Analyst **Angelo Zino, CFA**

GICS Sector	Information Technology	Summary	Apple is a prominent provider of consumer computing devices, including the iPhone, iPad tablets, Mac computers, and wearables.
Sub-Industry	Technology Hardware, Storage and Peripherals		

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)									
52-Wk Range	USD 344.57 - 225.95	Oper.EPS2026E	USD 8.88	Market Capitalization[B]	USD 4789.96	Beta	1.09		
Trailing 12-Month EPS	USD 8.72	Oper.EPS2027E	USD 9.59	Yield [%]	0.33	3-yr Proj. EPS CAGR[%]	12		
Trailing 12-Month P/E	36.69	P/E on Oper.EPS2026E	36.03	Dividend Rate/Share	USD 1.08	SPGMI's Quality Ranking	A+		
USD 10K Invested 5 Yrs Ago	21,900.0	Common Shares Outstg.[M]	14,609.00	Trailing 12-Month Dividend	USD 1.06	Institutional Ownership [%]	40.0		



Source: CFRA, S&P Global Market Intelligence

Past performance is not an indication of future performance and should not be relied upon as such.

Analysis prepared by **Angelo Zino, CFA** on Jul 31, 2026 01:48 AM ET, when the stock traded at **USD 312.49**.

Highlights

- We expect strong revenue growth stemming from the iPhone 17 cycle, which saw 22% growth in Mar-Q and Jun-Q across all regions from an aging installed base. China grew 22%, while emerging markets like India offer long-term upside. iPhone demand remains resilient despite supply constraints on advanced SoC nodes expected to increase in Sep-Q. The iPhone 18 cycle should benefit from foldables (~10M units at ~\$2,500 ASP) and higher ASPs. Services grew 12% in Jun-Q with paid subscriptions surpassing 1.5B.
- Gross margin reached 50.1% in Jun-Q, though memory price inflation weighs on margins. AAPL announced price increases of 15%-25% across Mac, iPad, and Vision Pro to offset rising costs. We expect gross margins at 47.0%-48.5% in the intermediate term as AAPL uses pricing to offset component costs. Services margins remain strong at 75.6%, supporting better mix despite hardware pressure.
- We raise our FY 26 [Sep.] EPS view to \$8.88 from \$8.76, keep FY 27 at \$9.59, and start FY 28 at \$10.82. AAPL announced \$100B in buybacks and a 4% dividend increase. The company abandoned its "net cash neutral" target, signaling confidence in AI opportunities while maintaining aggressive buybacks.

Investment Rationale/Risk

- Our Buy rating reflects AAPL's ecosystem, AI prospects, cash returns, and expanding addressable market. The iPhone 17 cycle demonstrates broad upgrade demand, while the Google partnership signals aggressive AI competition. AAPL's privacy emphasis provides a competitive advantage. The CEO transition from Cook to Ternus addresses continuity concerns while pivoting to product-centric leadership for AI and foldables. We like the pipeline including AI, foldables, spatial computing, and health care.
- Risks include memory price inflation as the largest gross margin headwind into FY 27, supply constraints on advanced SoC nodes creating near-term revenue/margin risk, China market challenges, Services growth deceleration, and tariff impacts. Product launches, replacement cycles, and competitive pressures pose additional risks.
- Our \$350 target uses a 31.5x P/E on CY 28 EPS of \$11.10, above the historical 28x-29x average, reflecting AI opportunities and a foldables shift. AAPL's premium is warranted by an aging installed base, broadening AI features, AI monetization through Services, and a strong pipeline. Our DCF supports our Buy view with a 1.0 beta, 3% terminal growth, and a 7% WACC.

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
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Our risk assessment reflects our view of Apple's ability to shift toward higher-margin and more recurring Services offerings, which reduces the future earnings volatility of the company. Major risks would include a potential cut to Apple's commission fee structure and legal uncertainties (e.g., the U.S. lawsuit), as well as China and geopolitical pressures. We have a favorable view of the company's scale, enormous cash position, and FCF flow potential. Despite a seemingly ever-evolving market for consumer-oriented technology products, we forecast Apple's ecosystem will sustain retention rates over 90%.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2028	E 167,270	E 133,741	E 127,993	E 134,384	E 563,388
2027	E 154,879	E 123,834	E 118,512	E 124,429	E 521,655
2026	143,756	111,184	109,417	E 113,455	E 477,812
2025	124,300	95,359	94,036	102,466	416,161
2024	119,575	90,753	85,777	94,930	391,035
2023	117,154	94,836	81,797	89,498	383,285

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2028	E 3.12	E 2.59	E 2.48	E 2.64	E 10.82
2027	E 2.96	E 2.25	E 2.10	E 2.28	E 9.59
2026	2.84	2.01	2.02	E 2.01	E 8.88
2025	2.40	1.65	1.57	1.85	7.46
2024	2.18	1.53	1.40	1.64	6.75
2023	1.88	1.52	1.26	1.46	6.13

Fiscal Year ended Sep 30. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount (USD)	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.2700	Jul 30	Aug 10	Aug 10	Aug 13 '26
0.2700	Apr 30	May 11	May 11	May 14 '26
0.2600	Jan 29	Feb 09	Feb 09	Feb 12 '26
0.2600	Oct 31	Nov 10	Nov 10	Nov 13 '25

Dividends have been paid since 1987 . Source: Company reports

Past performance is not an indication of future performance and should not be relied as such.

Forecasts are not a reliable indicator of future performance.

Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Business Summary Jul 31, 2026

Corporate Overview. Apple Inc. [AAPL] makes smartphones, tablet devices, and computers, and sells a variety of related software, services, and accessories.

AAPL's iPhone directly accounted for 50% of FY 25 [Sep.] revenues. In September 2025, it unveiled the iPhone 17 [two Pro versions], with base pricing for the standard Pro device increasing by \$100 to \$1,099 and the Pro Max remaining unchanged at \$1,199. AAPL unveiled its new iPhone 17 Air model, its thinnest design ever, with a 6.5 inch display, more durable ceramic shield on the front and back, A19 Pro processor, and internal C1X modem [priced at \$999, replacing the Plus that was priced at \$899]. The standard device [price stays at \$799] gets a bigger screen [6.3 inches from 6.1], A19 processor, ProMotion, and better camera features vs. the iPhone 16.

All four iPhone 17 devices now start with 256GB of storage and new Center Stage front camera [no need to rotate phone for horizontal photos]. The Pro devices get most of the iPhone Air features with even more camera upgrades [three 48MP Fusion cameras – Main, Ultra Wide, and an all-new Telephoto – greater optical-quality zoom at 8x, new video features filmmakers/content creators like genlock].

Sales of Macs made up 8% of revenues in FY 25, with revenue rising by 12%. During the same period, iPad sales [7% of revenue] rose 5%. Apple announced the M5 chip for both the Mac and iPad product lines on October 15, 2025. The first devices featuring the new chip, including a 14-inch MacBook Pro and new iPad Pro models, were made available for pre-order the same day, with shipping and in-store availability starting on October 22.

Revenue from Wearables, Home, and Accessories products [9% of FY 25 revenue; down 4%] includes sales of the Apple TV, Apple Watch, AirPods, Beats products, HomePod, and iPod, as well as Apple-branded and third-party accessories. In September 2025, AAPL also unveiled the Apple Watch Series 11 that offers new health care features [high blood pressure tracker, sleep score] and AirPods Pro 3 that focuses on new fitness features/live translation.

We note Services accounted for 26% of FY 25 sales and grew by a healthy 14%. Services includes revenue from the App Store, iCloud, Apple TV+, AppleCare, licensing, and other services. The company also offers its Apple Fitness+ and its Apple One Subscription, which offers bundling options for a host of its services.

Competitive Landscape. We think AAPL uses its ability to design and develop its own operating system, hardware, application software, and services to differentiate itself from its competitors. We see the appeal behind the products having a lot to do with AAPL's stated goal of providing customers with products that have superior ease of use, seamless integration, and innovative industrial design. Reflecting what we view as AAPL's perceived quality and notable cachet, the company is able to compete in the mid- to high-end segments of its target markets and charge above-average prices for its products.

AAPL has a substantial hardware presence across key categories, and we think this helps garner interest from third-party application developers who continue to produce content and applications for the iPhone and iPad. We think AAPL's application business is one of the key elements that helps differentiate its devices from other products, and is important to future sales growth and pricing power. Further, we view the App Store as an effective way to not only distribute content effectively, but also to keep the customer base entrenched. We think iCloud functionality encourages customers to buy more AAPL products and use them more regularly.

Legal/Regulatory Issues. On September 2, 2025, Judge Amit Mehta ruled that Alphabet can continue making payments to preload its search engine on iPhones. While the terms bar GOOGL from exclusive contracts requiring its search engine as the sole default option, the ruling permits non-exclusive revenue-sharing agreements, leaving room for AAPL and GOOGL to negotiate new deals, which we think will entail choice screens. AAPL will be able to continue generating significant revenue from GOOGL [likely at lower levels than prior terms], strike new partnerships with other search vendors, and consider adding new AI engines. Still, AAPL likely does not have to do anything for now, as an appeals process likely trickles into CY 27.

On March 21, 2024, the U.S. Department of Justice [DoJ] announced it was suing AAPL, accusing it of monopolizing the smartphone market. The suit stated that AAPL makes it difficult for competitors to integrate with the iPhone, thus raising prices and keeping consumers from switching. While the DoJ's case appears much more aggressive than any other toward AAPL and increases risk for investors, the case is likely to take years to conclude, and we note that U.S. regulators/DoJ have had a spotty record against Big Tech, at best. We do see an increasing likelihood that AAPL will be forced to incrementally open up its ecosystem over time across all geographies, but view monopolistic claims as a bit of a reach.

Financial Trends. Although AAPL's sales are affected by broader macroeconomic conditions, we think it has generally been less cyclical than peers, given its strong brand, innovative and high-quality products, loyal customer base, and exposure to fast-growing markets. Thus, AAPL has been able to command significant pricing power for its offerings and has successfully increased prices for most of its product lines over time.

AAPL has what we view as a very strong balance sheet, with about \$147B in cash and investments and about \$84B in debt as of June 2026. AAPL boasts return metrics, such as return on equity, that are relatively high compared to other large/mega-cap hardware and software companies.

AAPL executed a 4-for-1 stock split in August 2020, its first since August 2014.

Corporate information

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CEO & Director J. Ternus	Principal Accounting Officer B. Borders
Senior VP & General Counsel J. G. Newstead	Senior VP & CFO K. Parekh
Senior VP & Chief Operating Officer S. Khan	Executive Chairman of the Board T. D. Cook
Board Members	
A. D. Levinson	R. D. Sugar
A. Gorsky	S. L. Wagner
A. Jung	T. D. Cook
J. Ternus	W. M. Austin
M. C. Lozano	
Domicile California	Auditor Ernst & Young LLP
Founded 1976	
Employees 166,000	
Stockholders 22,429	

Apple Inc.

Quantitative Evaluations					
Fair Value Rank	1	2	3	4	5
	LOWEST		HIGHEST		
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].				
Fair Value Calculation	USD 226.86	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that AAPL is overvalued by USD 93.11 or 29.10%			
Volatility	LOW		AVERAGE		HIGH
Technical Evaluation	NEUTRAL	Since July, 2026, the technical indicators for AAPL have been NEUTRAL"			
Insider Activity	UNFAVORABLE	NEUTRAL	FAVORABLE		

Expanded Ratio Analysis				
	2025	2024	2023	2022
Price/Sales	9.21	8.98	7.06	6.23
Price/EBITDA	26.48	26.06	21.52	18.81
Price/Pretax Income	28.88	28.42	23.80	20.62
P/E Ratio	34.24	33.75	27.93	24.62
Avg. Diluted Shares Outstg. [M]	15,005	15,408	15,813	16,326
Figures based on fiscal year-end price				
Key Growth Rates and Averages				
Past Growth Rate [%]		1 Year	3 Years	5 Years
Net Income		19.50	3.92	14.30
Sales		6.43	1.81	8.68
Ratio Analysis [Annual Avg.]				
Net Margin [%]		26.92	25.40	25.48
% LT Debt to Capitalization		42.09	47.34	50.14
Return on Equity [%]		171.42	166.93	164.74

Apple Inc.

Sub-Industry Outlook

Our fundamental outlook for the Technology Hardware, Storage & Peripherals industry over the next 12 months is positive, supported by robust enterprise infrastructure spending and accelerating AI adoption, which we believe is offsetting consumer market headwinds.

The ongoing memory shortage remains among the primary issues to monitor. Through June 30, 2026, we estimate that year-to-date prices are up about 140% for DRAM and about 200% for NAND. Price increases are projected to stabilize in H2 2026 (DRAM +30%, NAND +15%) but are unlikely to bring meaningful relief via pricing declines until at least late 2027 as demand continues to outstrip supply.

Through H1 2026, industry participants tied to the data center have generally benefitted from elevated memory prices, as the associated increase in demand for AI hardware (the key driver of the shortage) has allowed costs to be easily passed through to customers. We note stellar results by server OEMs like Dell (AI server sales up 800% Y/Y in Apr-Q 2026) as a reflection of this demand, which should continue rising over the next several quarters as spending picks up across both the hyperscale and enterprise spaces. Receiving the necessary memory allocations to fulfill customer orders may present an issue in 2027, but companies have so far noted confidence in their ability to obtain supply to support expected volumes in 2026.

The emergence of agentic AI has supercharged the transition of AI workloads from training to inference, an effect that has provided a structural demand boost to storage volumes as AI inference outputs are generally retained to provide context, improve models/agents, and meet regulatory requirements. We expect rising benefits across the storage hardware ecosystem as consumers experiment with AI, and we expect these tailwinds to extend to edge use cases as physical AI gains traction.

On the other hand, higher memory costs have driven price increases for PC and smartphone makers that have been absorbed less easily by

consumers, with volumes taking a hit as a result. We expect a 10%-15% unit decline for both smartphones and PCs in 2026 following 2% smartphone growth and 10% PC growth in 2025 (which saw tailwinds from the Windows 10 end-of-support deadline in October 2025). In June, Apple lifted its prices on iPads and MacBooks by about 25% in response to higher memory prices. Our weak unit forecast comes despite a growing mix of AI devices: HP, for example, expects AI PCs to make up ~65% of its PC mix by FYE 27 (Oct.).

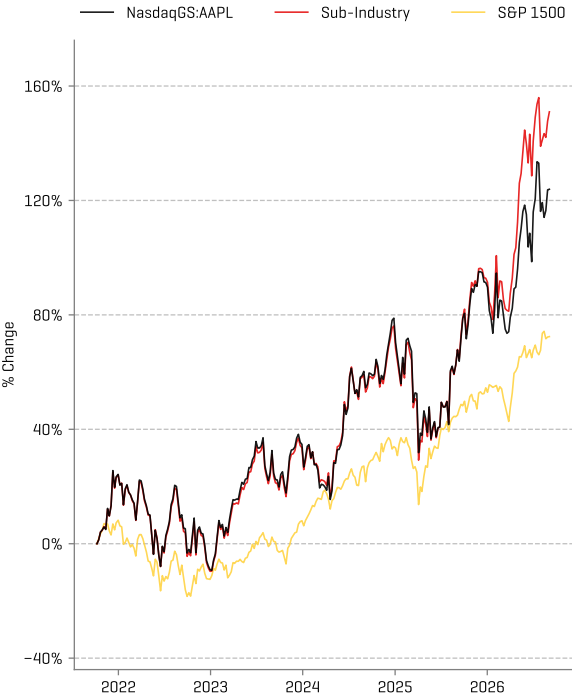
Alongside rising demand for AI-enabling hardware, customers have been offering hardware providers unprecedented visibility as they look to lock in critical supply for data center builds through 2030. During Jun-Q earnings, NAND memory maker SanDisk reported eight long-term supply agreements (LTSA) with a weighted average term of over four years, expected to cover 2/3 of its bit volumes in FY 28 (Jun.), while hard disk drive (HDD) makers Western Digital and Seagate reported that their advanced drives are largely sold out through CY 28. For server OEMs, backlogs are increasing dramatically, with Dell and HPE both growing their AI backlogs by nearly 20% Q/Q in their Apr-Qs (to \$51 billion / \$5.9 billion, respectively) and Super Micro seeing its order pipeline increase by \$60 billion during its Jun-Q.

Year-to-date through August 7, 2026, the S&P 1500 Technology Hardware, Storage & Peripherals Index increased by 26.0%, outperforming the S&P 1500's 13.8% gain.

/ Brooks Idlet, CFA

Industry Performance

GICS Sector: Information Technology
Sub-Industry: Technology Hardware, Storage and Peripherals
 Based on S&P 1500 Indexes
 Five-Year market price performance through Sep 05, 2026



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Technology Hardware, Storage and Peripherals Peer Group*: Technology Hardware, Storage and Peripherals

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
Apple Inc.	AAPL	NasdaqGS	USD	328.21	4,789,956.0	6.1	37.6	38.0	226.86	0.3	148.8	37.2
Dell Technologies Inc.	DELL	NYSE	USD	516.39	333,661.0	10.5	316.4	28.0	457.43	0.5	-542.7	78.6
Everpure, Inc.	P	NYSE	USD	98.15	32,626.0	17.0	26.0	40.0	77.76	N/A	17.7	N/A
HP Inc.	HPQ	NYSE	USD	31.93	28,794.0	10.8	11.2	9.0	20.21	3.8	-493.7	76.8
Hewlett Packard Enterprise Company	HPE	NYSE	USD	54.44	72,296.0	3.9	138.6	17.0	65.51	1.0	10.9	37.0
Logitech International S.A.	LOGI	NasdaqGS	USD	101.71	14,422.0	-6.6	-2.6	16.0	N/A	1.6	35.3	N/A
NetApp, Inc.	NTAP	NasdaqGS	USD	185.38	36,412.0	-2.7	59.2	20.0	180.65	1.1	114.8	48.1
Sandisk Corporation	SNDK	NasdaqGS	USD	1,554.99	227,680.0	8.9	2833.4	21.0	1,880.09	N/A	91.6	N/A
Seagate Technology Holdings plc	STX	NasdaqGS	USD	798.61	181,001.0	-5.5	352.9	51.0	699.52	0.4	371.5	55.7
Super Micro Computer, Inc.	SMCI	NasdaqGS	USD	37.87	24,879.0	19.5	-5.6	11.0	N/A	N/A	21.5	28.1
Western Digital Corporation	WDC	NasdaqGS	USD	441.57	159,204.0	-19.5	413.4	43.0	1,114.80	0.1	130.9	N/A

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA-Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Apple Inc.**Analyst Research Notes and other Company News****July 31, 2026**

01:48 AM ET... CFRA Maintains Buy Opinion on Shares of Apple Inc. [AAPL 312.49****]:

We keep our 12-month target price at \$350, based on P/E of ~31.5x and shifting to our CY 28 EPS view of \$11.10, above peers/historical. We raise our FY 26 [Sep.] EPS estimate to \$8.88 from \$8.76 and keep FY 27 at \$9.59. We start FY 28 at \$10.82. Although we keep our estimates largely intact, we see greater uncertainty heading into the all-important holiday season due to memory bottlenecks constraining near term gross margins/revenue more than we thought. Still, we expect iPhone price hikes this fall on a like-for-like base to help sustain margins and added foldable iPhone to the pipeline to support China momentum. AAPL's revenue guidance of 9%-11% was below our 12%, with Services growth seen decelerating below 10% and iPhones down to mid-teens growth - forex [2.5%-pts Q/Q headwind to Y/Y growth rate] and advanced node constraints are to blame. Potential memory supplier diversification toward China suppliers CXMT/YMTC are upside catalysts, while Siri AI integration could improve the Services trajectory. / Angelo Zino, CFA

July 30, 2026

05:12 PM ET... AAPL: Jun-Q Beat Aided By iPhone and China Strength; Services a Miss [AAPL 338.19****]:

AAPL posted better-than-expected Jun-Q results with revenue of \$109.4B [+16.4% Y/Y] vs consensus \$108.96B and EPS of \$2.02 [+28.7% Y/Y] vs consensus \$1.89. Gross margin expanded meaningfully to 50.1% from 46.5% prior year, aided by ~2pp from tariff refunds, while underlying margin growth reflected continued mix shift toward higher-margin Services. The broad-based strength included record Jun-Q performance across iPhone (\$54.3B, +21.7%), Mac (\$10.4B, +28.7%), and Services (\$30.7B, +12.1%), with notable Greater China recovery at \$18.8B [+22.4% Y/Y]. AAPL will provide Sep-Q guidance on its earnings call. R&D investment accelerated sharply to \$11.7B [+32.3% Y/Y], underscoring commitment to AI development including the new Siri AI announced at WWDC26. Strong operating cash flow of \$117.0B for nine months [+43.1% Y/Y] and \$62.1B in YTD buybacks contributing to 2.0% share count reduction reinforce the franchise's earnings power and capital return capacity. / Angelo Zino, CFA

July 15, 2026

12:32 PM ET... Apple and Alibaba AI Partnership Sparks Enthusiasm in the China Market [AAPL 326.77****]:

AAPL has reached an agreement to integrate Alibaba's Qwen AI model into Apple Intelligence services for users in China, resolving a key regulatory constraint that required AAPL to partner with a domestic AI provider. The Apple-Qwen integration enables users to access text and image understanding and generation capabilities natively, without switching between tools. The partnership is further bolstered by PrismML, which compressed the Qwen 27B model from 54GB to under 4GB, enabling it to run on an iPhone 15 or newer device. AAPL is gaining considerable share in the smartphone market, as it better copes with surging memory prices. The news does not address the AI integration in Siri, which AAPL still needs to work with local China regulators to gain approval. Still, we think AAPL remains well-positioned heading into an iPhone 18 cycle to capture share in China, benefit from higher ASPs through mix (foldables/Pros) and like-for-like price hikes [we see a \$150 to \$200 ASP boost to pass on higher component prices]. / Angelo Zino, CFA

July 14, 2026

11:38 AM ET... CFRA Maintains Buy Opinion on Shares of Apple Inc. [AAPL 314.80****]:

We raise our 12-month target to \$350 from \$310, on revised P/E of 35x our CY 27 EPS of \$10. Ahead of Jun-Q results on 7/30, we raise our FY 26 [Sep.] EPS to \$8.76 from \$8.66 and FY 27 to \$9.59 from \$9.50. We see Jun-Q revenue growth of +15% Y/Y, well above the ~9% view at the time of guidance, and gross margin compression to 48%. We expect AAPL to confirm hardware resilience, with mid-teens iPhone revenue growth supported by higher ASPs, while Services growth of ~13%-14% Y/Y remains achievable, anchored by 2.5B+ active devices. Memory cost pressure will be an important topic given recent comments from Tim Cook and notable Mac/iPad price hikes last month. AAPL looks for sequential gross margin compression in the Jun-Q, as it represents the first full period without the cushion of lower-cost carry-in inventory. The iPhone 18 cycle [could see a ~10M-unit foldable Ultra at ~\$2,500 ASP], better mix, and memory supplier diversification toward CXMT and YMTC represent the key upside catalysts for the Sep-Q and beyond. / Angelo Zino, CFA

June 25, 2026

12:11 PM ET... AAPL: Price Hikes Needed to Defend Margins; More to Come [AAPL 293.08****]:

AAPL announced price increases of 15%-25% across Mac, iPad, home devices, and Vision Pro products, well ahead of analyst expectations of 5%-10%. While shares declined ~5% today, we view the move as strategically necessary and margin-supportive despite potential unit demand implications. The increases are driven by severe DRAM and NAND memory shortages fueled by AI server farm demand, reflecting cost reality rather than demand weakness. CEO Tim Cook described the current memory supply-demand imbalance as "unprecedented" and a "once-in-a-century flood." iPhone prices were excluded from today's action, preserving pricing optionality ahead of the iPhone 18 cycle and anticipated foldable device launch in September. We expect iPhone Pro models could see \$150-\$250 increases bundled into the fall hardware event. While near-term margin pressure is real, we believe gross margins will settle in the 47.5%-48.5% range for FY 26-27, with today's pricing action providing partial offset to rising component costs. / Angelo Zino, CFA

June 08, 2026

04:02 PM ET... AAPL: WWDC Puts AI Strategy on the Right Path [AAPL 307.34****]:

AAPL unveiled Siri AI as the centerpiece of its latest event, a long-awaited Siri overhaul with conversational capabilities, context-awareness, and partnership with Google's Gemini models. Siri AI can handle back-and-forth dialogue, provide document feedback, and take action within third-party apps, though it will not be available in the EU or China at launch due to regulatory constraints. We believe AAPL's emphasis on privacy provides a key competitive advantage as the company finally gets its AI strategy headed in the right direction. AAPL also announced second-generation Apple Foundation Models capable of understanding speech, text, and images simultaneously, plus AI features across Home and Passwords apps. iOS 27 promises 30% faster app loading and enhanced liquid glass customization. While the lack of major surprises and limited global roll-out led to muted reaction, we view the event as a success and now look ahead to the September hardware event to ensure proper foldable launch execution. / Angelo Zino, CFA

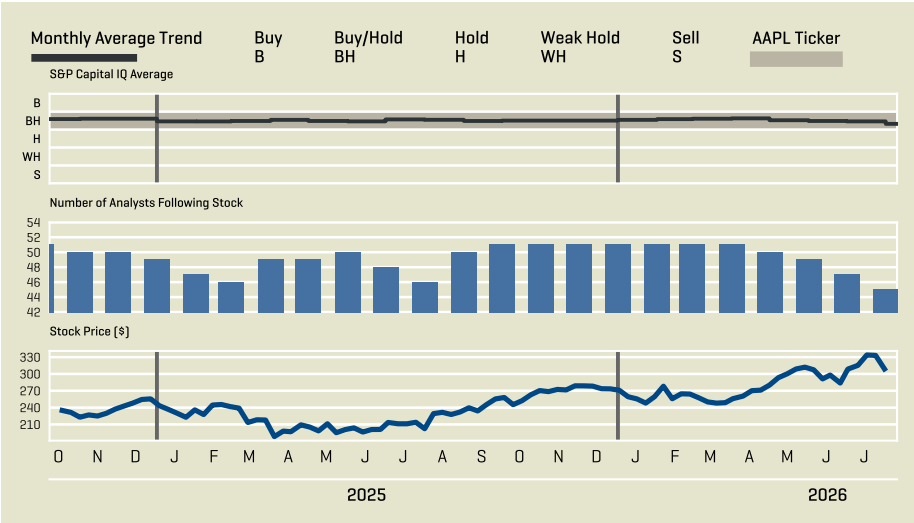
May 01, 2026

08:13 AM ET... CFRA Maintains Buy Opinion on Shares of Apple Inc. [AAPL 271.35****]:

We keep our 12-month target at \$310, on P/E of about 32x our CY 27 view of \$9.70, above historical/peers to reflect EPS upside from AI and foldables. After posting better than expected Mar-Q and Jun-Q guide, we lift our FY 26 EPS to \$8.66 from \$8.55 and FY 27 to \$9.50 from \$9.36. AAPL guided for Jun-Q revenue growth of 14%-17%, well ahead of our 9% view, despite supply constraints for Mac models and rising memory component costs. We like growth prospects tied to Apple Intelligence and emerging markets like India while the successful launch of the MacBook Neo at attractive price points demonstrates AAPL's ability to capture new customer segments (e.g., education and value-conscious consumers). Enterprise market traction and Services expansion are positives, including the Apple Business platform and ads in Apple Maps. While AAPL made the decision to abandon the "net cash neutral" target, a framework in place since 2018, we see buybacks remaining a priority while it also has more flexibility for investments. / Angelo Zino, CFA

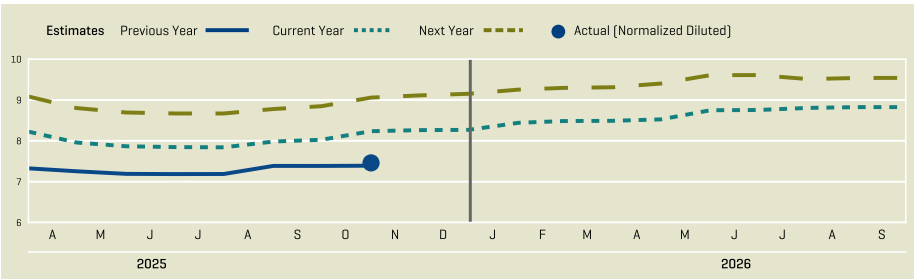
Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	19	42	19	22
Buy/Hold	6	13	6	6
Hold	13	29	14	16
Weak hold	3	7	2	2
Sell	3	7	3	1
No Opinion	1	2	1	2
Total	45	100	45	49

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2027	9.54	10.39	8.24	39	34.40
2026	8.82	9.01	8.28	38	37.19
2027 vs. 2026	▲ 8%	▲ 15%	▼ -0%	▲ 3%	▼ -8%
Q4'27	2.22	2.41	1.83	18	148.15
Q4'26	1.98	2.07	1.93	28	165.75
Q4'27 vs. Q4'26	▲ 12%	▲ 16%	▼ -5%	▼ -36%	▼ -11%

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Apple Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
 CAPEX - Capital Expenditures
 CY - Calendar Year
 DCF - Discounted Cash Flow
 DDM - Dividend Discount Model
 EBIT - Earnings Before Interest and Taxes
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
 EPS - Earnings Per Share
 EV - Enterprise Value
 FCF - Free Cash Flow
 FFO - Funds From Operations
 FY - Fiscal Year
 P/E - Price/Earnings
 P/NAV - Price to Net Asset Value
 PEG Ratio - P/E-to-Growth Ratio
 PV - Present Value
 R&D - Research & Development
 ROCE - Return on Capital Employed
 ROE Return on Equity
 ROI - Return on Investment
 ROIC - Return on Invested Capital
 ROA - Return on Assets
 SG&A - Selling, General & Administrative Expenses
 SOTP - Sum-of-The-Parts
 WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.

Apple Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of June 30, 2026

Ranking	North America	Europe	Asia	Global
Buy	44.8%	47.5%	50.5%	46.7%
Hold	42.1%	41.1%	44.5%	42.4%
Sell	13.1%	11.3%	5.0%	10.9%
Total	100.0%	100.0%	100.0%	100.0%

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